

foolish mood, you are free to ignore him or take advantage of him, but it will be disastrous if you fall under his influence.

More than 60 years have passed since Ben Graham created Mr. Market. Yet the mistakes of judgment that Graham warned against are very much with us. Investors still act irrationally. Fear and greed still permeate the marketplace. Foolish mistakes are still the order of the day. Along with good business judgment, then, investors need to understand how to protect themselves from the emotional whirlwind that Mr. Market unleashes. To do that, we must become familiar with behavioral finance, that place where finance intersects with psychology.

Behavioral Finance

Behavioral finance is an investigative study that seeks to explain market inefficiencies by using psychological theories. Observing that people often make foolish mistakes and illogical assumptions when dealing with their own financial affairs, academics began to dig deeper into psychological concepts to explain the irrationalities in people's thinking. It is a relatively new field of study, but what we are learning is fascinating, as well as eminently useful to smart investors.

Overconfidence

Several psychological studies have pointed out that errors in judgment occur because people in general are overconfident. Ask a large sample of people to describe their skills at driving a car, and an overwhelming majority will say they are above average. Another example: Doctors believe they can diagnose pneumonia with 90 percent confidence when in fact they are right only 50 percent of the time. "One of the hardest things to imagine is that you are not smarter than average," said Daniel Kahneman, professor of psychology and public affairs at Princeton University's Woodrow Wilson School of Public and International Affairs and winner of the Nobel Prize in economics.³ But the sobering reality is that not everyone can be better than average.